

Microsoft Excel

Interview Questions & Answers

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BASIC LEVEL

1. What is Microsoft Excel and what are its primary uses?

Microsoft Excel is a spreadsheet application developed by Microsoft, used for data organization, calculation, analysis, and visualization. It is widely used for budgeting, financial modeling, data analysis, creating charts, and automating tasks using formulas and macros.

2. What is the difference between a Workbook and a Worksheet?

A Workbook is the entire Excel file (.xlsx) that can contain multiple Worksheets. A Worksheet (also called a Sheet) is a single spreadsheet within a workbook, consisting of rows and columns where data is entered.

3. What are the most commonly used Excel functions?

The most commonly used Excel functions include: SUM (adds values), AVERAGE (calculates mean), COUNT/COUNTA (counts cells), IF (logical test), VLOOKUP/HLOOKUP (lookup values), INDEX-MATCH (advanced lookup), CONCATENATE/CONCAT (joins text), TEXT (formats values), and MAX/MIN (finds highest/lowest values).

4. What is the difference between relative, absolute, and mixed cell references?

Relative reference (e.g., A1) changes when a formula is copied. Absolute reference (e.g., \$A\$1) stays fixed. Mixed reference locks either the row (\$A1) or the column (A\$1) while the other part changes when copied.

5. What is VLOOKUP and how does it work?

VLOOKUP (Vertical Lookup) searches for a value in the first column of a range and returns a value from a specified column in the same row. Syntax: =VLOOKUP(lookup_value, table_array, col_index_num, [range_lookup]). The last argument is FALSE for exact match and TRUE for approximate match.

INTERMEDIATE LEVEL

6. What is the difference between VLOOKUP and INDEX-MATCH?

VLOOKUP only looks from left to right and requires the lookup column to be the first column. INDEX-MATCH is more flexible — it can look in any direction, is faster on large datasets, and does not break when columns are inserted or deleted. INDEX-MATCH is generally preferred for complex lookups.

7. What are PivotTables and when should you use them?

A PivotTable is an interactive tool to summarize, analyze, and explore large datasets dynamically without writing formulas. Use them when you need to group data, calculate totals/averages by category, compare trends, or create summary reports quickly from raw data.

8. What is conditional formatting in Excel?

Conditional formatting automatically applies formatting (colors, icons, data bars) to cells based on specified conditions or rules. It helps highlight important data, such as values above a threshold, duplicates, top/bottom performers, or date ranges.

9. Explain the use of the IF function with an example.

The IF function performs a logical test and returns one value if TRUE and another if FALSE. Syntax: =IF(condition, value_if_true, value_if_false). Example: =IF(A1>=50, "Pass", "Fail") — returns 'Pass' if A1 is 50 or more, otherwise 'Fail'. IFs can also be nested for multiple conditions.

10. What is the COUNTIF and SUMIF function?

COUNTIF counts cells that meet a single criterion. Syntax: =COUNTIF(range, criteria). SUMIF adds cells that meet a condition. Syntax: =SUMIF(range, criteria, sum_range). Example: =SUMIF(B2:B10, "Sales", C2:C10) sums values in column C where column B equals 'Sales'.

ADVANCED LEVEL

11. What are Excel Macros and how are they used?

Macros are recorded or written sequences of actions (using VBA — Visual Basic for Applications) that automate repetitive tasks in Excel. They can be recorded via the Developer tab or written manually in the VBA editor. Macros save time for tasks like formatting, data entry, and report generation.

12. What is Power Query in Excel?

Power Query is a data connection and transformation tool in Excel that allows users to import, clean, reshape, and combine data from multiple sources (databases, CSV, web, etc.) without writing formulas. It uses a step-by-step interface and M language for advanced transformations.

13. What is the difference between XLOOKUP and VLOOKUP?

XLOOKUP (available in Excel 365/2019+) is more powerful than VLOOKUP. It can search both left and right, handles errors natively with an [if_not_found] argument, supports exact/approximate/wildcard matches, and returns arrays (multiple columns) in one formula. It is the modern replacement for VLOOKUP and HLOOKUP.

14. How do you remove duplicates in Excel?

Go to the Data tab and click 'Remove Duplicates'. Select the columns to check for duplicates and click OK. Excel will delete duplicate rows and show a count. Alternatively, use the UNIQUE function (Excel 365) to extract unique values dynamically, or use conditional formatting to highlight duplicates first.

15. What are array formulas and how do they work?

Array formulas perform multiple calculations on one or more sets of values and return a single result or multiple results. In older Excel, they were entered with Ctrl+Shift+Enter and appear in {curly braces}. In Excel 365, dynamic arrays spill results automatically. Example: =SUM(IF(A1:A10>5,1,0)) counts values greater than 5.

16. What is the TEXT function and when is it used?

The TEXT function converts a numeric value to text with a specified format. Syntax: =TEXT(value, format_text). Example: =TEXT(TODAY(),"DD-MM-YYYY") returns today's date as formatted text. It is useful for combining dates/numbers with text strings in messages or reports.

17. How do you protect a worksheet or workbook in Excel?

To protect a worksheet, go to Review > Protect Sheet, set a password, and choose what users can edit. To protect a workbook structure (prevent adding/deleting sheets), go to Review > Protect Workbook. Cell-level protection requires marking cells as 'Locked' or 'Unlocked' before applying sheet protection.

18. What is the IFERROR function?

IFERROR catches errors in a formula and returns a custom value instead of showing error codes like #N/A, #DIV/0!, or #VALUE!. Syntax: =IFERROR(value, value_if_error). Example: =IFERROR(VLOOKUP(A1,B:C,2,0),"Not Found") returns 'Not Found' if the lookup fails instead of showing an error.